

In some cases, their indifference or antipathy gives rise to hostile tender offers or activist shareholders' proxy fights.

As often as not, these besieged managers decry their detractors as short-termers. Consider the following comments:

The vast majority of unfriendly acquisitions reflect strategies for short-term gain at the expense of long-term values. (Raymond Plank, chairman, Apache Corporation, and founder, Stakeholders in America)

Today, equity is valued in the marketplace in relationship to its current, or immediate past, or immediate future earnings. . . . This translates to a tremendous pressure on every corporation that is owned by these people for short-term performance. (Andrew C. Sigler, chairman and CEO, Champion International, and spokesman, Business Roundtable)

Can you run America with a fairly large percentage of your investors being casino gamblers? That's the problem you've got with all of your managers of your pension funds and foundation funds. . . . You know they trade on a tenth of a point. They'll sell and buy your stock twice in one day. They have no wait, no holding periods, no taxes to pay . . . it's entirely fast buck. (Fred Hartley, chairman, Unocal Corporation)

It's not just the oil companies. A majority of the *Fortune* '500' companies are susceptible. . . . If this persists, American industry will move into a short-term strategy of decision making. With a short-term strategy, who's going to do the research for tomorrow? (Charles Kittrell, executive vice president, Phillips Petroleum Company)

These sentiments appear throughout corporate America. In 1985 the Conference Board surveyed the attitudes of